IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CA(CAA)/34/CHE/2022

Under Sections 230 to 232 of the Companies Act, 2013
In the matter of *Scheme of Arrangement (Amalgamation)*

of

HOWDEN AIR & GAS INDIA PRIVATE LIMITED,
A company incorporated under the Companies Act, 1956
Having its registered office at
No. 147, Poonamallee High Road,
Numbal Village,
Chennai-600-077,
Tamil Nadu, India

...Applicant/ Transferor Company -1

And

HOWDEN THOMASSEN COMPRESSORS INDIA PRIVATE LIMITED,
A company incorporated under the Companies Act, 1956
Having its registered office at No. 147.
Poonamallee High Road,
Numbal Village,
Chennai-600-077,
Tamil Nadu, India

... Applicant/ Transferor Company-2

And

HOWDEN SOLYVENT (INDIA) PRIVATE LIMITED,
A company incorporated under the Companies Act, 1956 having its registered office at No. 147.
Poonamalee High Road,
Numbal Vil Kancheepuram D.T.
Kancheepuram D.T. 600077
Tamil Nadu

...Applicant/Transferee Company

*Order Pronounced **1st July 2022**.*

CORAM:

JUSTICE (RETD.) S. RAMATHILAGAM, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Applicant(s): Mr. Cibi Vishnu, *Advocate*

ORDER

Per: **ANIL KUMAR B, MEMBER (TECHNICAL)**

This is a joint application filed by the Applicant Companies, namely **HOWDEN AIR & GAS INDIA PRIVATE LIMITED** (hereinafter "Transferor Company-1"), **HOWDEN THOMASSEN COMPRESSORS INDIA PRIVATE LIMITED** (hereinafter "Transferor Company-2"), and **HOWDEN SOLYVENT (INDIA) PRIVATE LIMITED** (hereinafter Transferee Company") (together the "Applicant Companies") with its Shareholders under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Amalgamation (hereinafter referred to as the "SCHEME") proposed by the Applicant Companies herein with its Shareholders. The said Scheme is placed as Annexure A1 in the typed set along with the Application bearing No. CA (CAA)/34 (CHE)/2022.

2. The Applicant Companies in this Company Application has sought for the following reliefs;

	EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
TRANSFEROR COMPANY – 1	To dispense with	To dispense with	To order for meeting
TRANSFEROR COMPANY – 2	To dispense with	To dispense with	To order for meeting
TRANSFEREE COMPANY	To dispense with	To dispense with	To order for meeting

3. From the certificate of incorporation filed, it is evident that

(i) From the certificate of incorporation filed by the Transferor Company(1), it is a company incorporated under the Companies Act, 1956, on the 6th June, 2007. The Authorized Share Capital of the Transferor Company (1) is Rs. 10,00,00,000/-, consisting of 1,00,00,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Transferor Company (1) is Rs. 4,72,12,500/- consisting of 47,21,250 Equity shares of Rs. 10/- each. The registered Office of the Transferor Company is situated at 147, Poonamallee High Road, Numbal Village, Chennai – 600077, Tamil Nadu, India.

(ii) From the certificate of incorporation filed by the Transferor Company (2), it is a company incorporated under the Companies Act, 1956, on the 21st September, 2006. The Authorized Share Capital of the Transferor Company (2) is Rs. 4,00,00,000/-, consisting of 40,00,000Equity Shares of Rs.10/- each. The issued,

subscribed and paid-up capital of the Transferor Company (2) is Rs. 3,85,61,980/- consisting of 38,56,198 Equity shares of Rs. 10/- each. The registered Office of the Transferor Company (2) is situated at 147, Poonamallee High Road, Numbal Village, Chennai – 600077, Tamil Nadu, India.

(iii) From the certificate of incorporation filed by the Transferee Company, it is a company incorporated under the Companies Act, 1956, on the 15th May, 2002. The Authorized Share Capital of the Transferee Companyis Rs. 205,00,00,000/-, consisting of 20,50,00,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Transferee Company as on 31st March, 2021 is Rs. 188,27,70,970/- consisting of 18,82,77,097 Equity shares of Rs. 10/- each. On 30 August 2021, the Transferee Company has issued 44,80,436 equity shares to its existing shareholder. Post this issue, the issued, subscribed and paid-up capital of the Transferee Company is Rs. 1,92,75,75,330/-, consisting of 19,27,57,533 Equity Shares of Rs.10/- each. The registered Office of the Transferee Company is situated at 147, Poonamallee High Road, Numbal Village, Chennai – 600077, Tamil Nadu, India.

4. An affidavit in support of the above application sworn for and on behalf of the Applicant Companies by the following persons :-

(i) Transferor Company 1, Mr.Arijeet Mukherjee in the capacity of the authorized representative.

(ii) Transferor Company 2, Mr. Shirish Uplenchwar in the capacity of authorized representative.

(iii) Transferee Company, Mr. V. Kalyanaraman in the capacity of the authorized representative.

is placed along with the Application and it is also represented that the Registered office of the Applicant Companies are situated within the jurisdiction of Registrar of Companies, Chennai.

5. **HOWDEN AIR & GAS INDIA PRIVATE LIMITED (TRANSFEROR COMPANY-1)**

(i) There are **Two (2)** Equity Shareholders, whose consent affidavits are placed as **Pgs 333-346** and the Certificate issued by the Chartered Accountant the list of Equity Shareholders is placed as **Page no. 332** of the typed set filed with the application and sought dispensation with holding of meeting.

(ii) There is **One (1)** Secured Creditor and whose consent affidavit are placed as **Pgs 379-389** and the Certificate issued by the Chartered Accountant the list of Equity

Shareholders is placed as **Page no. 378** of the typed set filed with the application and sought dispensation with holding of meeting

(iii) There are **Seven (7)** Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at **Page Nos. 390-391** of the typed set filed with the application and sought for Convening, Holding and Conducting of the meeting.

6. **HOWDEN THOMASSEN COMPRESSORS INDIA PRIVATE LIMITED (TRANSFEROR COMPANY-2)**

(i) There are **Two (2)** Equity Shareholders, whose consent affidavits are placed as **Page No. 348-362** of the typed set filed with the application and the Certificate issued by the Chartered Accountant certifying the list of Equity Shareholders is placed as **Page no. 347** of the typed set filed with the application and sought dispensation with holding of meeting.

(ii) There is NIL Secured Creditor and the certificate issued by the Chartered Accountant to this effect is placed as

Page No. 392 of the typed set filed along with the Application.

(iv) There are **Twenty Nine (29)** Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at **Page Nos. 393-394** of the typed set filed with the application and sought for Convening, Holding and Conducting of the meeting.

7. HOWDEN SOLYVENT (INDIA) PRIVATE LIMITED
(TRANSFEREE COMPANY)

(i) There are **Two (2)** Equity Shareholders, whose consent affidavits are placed at **Page No. 364-377** and the Certificate issued by the Chartered Accountant certifying the list of Equity Shareholders is placed at **Page No. 363** of the typed set filed with the application and sought dispensation with holding of meeting.

(ii) There is **One (1)** Secured Creditor and whose consent affidavit are placed as **Pgs 396-406** and the Certificate issued by the Chartered Accountant the list of Equity Shareholders is placed as **Page no. 395** of the typed set

filed with the application and sought dispensation with holding of meeting.

(iii) There are **Five hundred and Fifty (550)** Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at **Page Nos. 407- 415** of the typed set filed with the application and sought for Convening, Holding and Conducting of the meeting.

8. We have perused the application and the connected documents / papers filed therewith including the Scheme contemplated by the Applicant companies.

9. The Applicant Companies has filed its Memorandum and Articles of Association *inter alia* delineating its object clauses as well as their last available Audited Financial Statements for the year ended 31.03.2021 and Provisional Financial Statements as on 31.12.2021.

10. The Board of Directors of the Applicant Companies vide meeting held on 27.01.2022 have unanimously approved the proposed Scheme as contemplated above and copies of the resolutions passed thereon have been placed on record by the Applicant Companies.

11. The Appointed date as specified in the Scheme shall be 01.04.2021.

12. The Statutory Auditors of the Transferee Company have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made there under and certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013.

13. Taking into consideration the application filed by the Applicant Companies and the documents filed therewith as well as the position of law, this Tribunal propose to issue the following directions : -

IN RELATION TO THE TRANSFEROR COMPANY – 1:
HOWDEN AIR & GAS INDIA PRIVATE LIMITED

(i) **With respect to the Equity shareholders:**

Since it is represented by the Transferor Company-1 that there are **Two (2)** Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from all and are placed on record, the necessity of convening, holding and conducting the meeting is *hereby dispensed with.*

(ii) **With respect to the Secured Creditors:**

Since it is represented by the Transferor Company-1 that there are **One (1)** Secured Creditor in the Company whose consents by way of Affidavits have been obtained from all and are placed on record, the necessity of convening, holding and conducting the meeting is *hereby dispensed with.*

(iii) **With respect to the Unsecured Creditors:**

Meeting of the Unsecured Creditors of the Transferor Company is directed to be held on **06.08.2022 at 11:30 AM** at the Registered Office address of the Transferee Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

IN RELATION TO THE TRANSFEROR COMPANY-2 :
HOWDEN THOMASSEN COMPRESSORS INDIA PRIVATE LIMITED

(i) **With respect to the Equity shareholders:**

Since it is represented by the Transferor Company-2 that there are **Two (2)** Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from all and are placed on record, the necessity of convening, holding and conducting the meeting is *dispensed with*

(ii) **With respect to the Secured Creditors:**

Since it is represented by the Transferor Company-1 that there are **One (1)** Secured Creditor in the Company whose consents by way of Affidavits have been obtained from all and are placed on record, the necessity of convening, holding and conducting the meeting is *hereby dispensed with.*

(iii) **With respect to the Unsecured Creditors:**

Meeting of the Unsecured Creditors of the Transferor Company is directed to be held on **06.08.2022 at 2:00 PM** at the Registered Office address of the Transferee Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

IN RELATION TO THE TRANSFEREE COMPANY :
HOWDEN SOLYVENT (INDIA) PRIVATE LIMITED

(i) **With respect to the Equity shareholders:**

Since it is represented by the Transferee Company that there are **Two (2)** Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from all and are placed on record, the necessity of convening, holding and conducting the meeting is *dispensed with.*

(ii) **With respect to the Secured Creditors:**

Since it is represented by the Transferor Company-2 that there is **NIL** Secured Creditor in the Company, hence the necessity of convening a meeting *does not arise.*

(iii) **With respect to the Unsecured Creditors:**

Meeting of the Unsecured Creditors of the Transferor Company is directed to be held on **06.08.2022 at 10:00 AM** at the Registered Office address of the Transferee Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

14. The quorum for the meeting of the Transferor Company-1 shall be as follows;

S.No	Class	Quorum
1.	Unsecured Creditors	3

15. The quorum for the meeting of the Transferor Company-2 shall be as follows;

S.No	Class	Quorum
1.	Unsecured Creditors	5

16. The quorum for the meeting of the Transferee Company shall be as follows;

S.No	Class	Quorum
1	Unsecured Creditors	10

i) The Chairperson appointed for the above said meetings shall be **Mr. Vinith. S,** Advocate (Ph No: 9788188688) and the alternate chairperson appointed for the above said meeting shall be the Director for the Transferor Company and the Managing Director of the Transferee Company who have sworn in affidavit on behalf of the respective Applicant Companies. The fee of the Chairperson for the aforesaid Equity Shareholder meeting of the Transferor Company shall be Rs.75,000/- (consolidated) in addition to meeting their incidental expenses.

ii) **Mr. Jerin Asher Sojan**, Advocate (Ph No: 8075504970) appointed as a Scrutinizer for meeting of the Transferor/Transferee Company and would be entitled to fee of Rs.35,000/- (consolidated)for services in addition to meeting incidental expenses. The Chairperson will file the reports of the meeting within a week from the date of holding of the above said meetings.

iii) In case the quorum as noted above, for the above meeting of the Applicant Companies is not present at the meeting, then the meeting shall be adjourned by half an hour, and thereafter the person(s) present and voting shall be deemed to constitute the quorum. For the

purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the applicant companies at least 48 hours before the meeting. The Chairperson and Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained. However, every endeavour should be made by the applicant companies to attain at least the quorum fixed, if not more in relation to approval of the scheme.

iv) The meetings shall be conducted as per applicable procedure prescribed under the MCA Circular MCA General Circular Nos. (i) 20/2020 dated 5th May, 2020 (AGM Circular), (ii) 14/2020, dated 08.04.2020 (EGM Circular-I) and (iii) 17/2020 dated 13.04.2020 (EGM Circular-II);

v) That individual notices of the above said meetings shall be sent by the Applicant Company through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and the time as aforesaid, together with a copy of Scheme, copy of explanatory statement, required to be sent under the Companies Act, 2013 and the prescribed form of proxy shall also be sent along and in addition to the above any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

vi) That the Applicant Company shall publish advertisement with a gap of atleast 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in the English Daily "*Business Standard*" (All India Edition), and "*Makkal Kural*" *Tamil* (Tamil Nadu Edition) in Vernacular stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the respective Applicant Companies.

vii) The Chairperson shall as afore stated be responsible to report the result of the meeting within a period of 3 days of the conclusion of the meeting with details of voting on the proposed scheme.

viii) The companies shall individually send notice to concerned Regional Director, MCA, Registrar of Companies Chennai, Official Liquidator and the Income Tax Authorities, as well as other Sectoral regulators who may have significant bearing on the operation of the applicant companies or the Scheme *per se* along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

ix) The applicant companies shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every creditor or member of the

applicant companies entitled to attend the meetings as aforesaid.

x) The Authorized Representative of the Applicant Companies shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

xi) All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

17. Accordingly, the Application stands **allowed** and the Applicant Companies are directed to file the Application for the Second Motion within a period of fourteen (14) days from the date of receipt of this Order.

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ANIL KUMAR B
MEMBER (TECHNICAL)

-SD-

JUSTICE (RETD.) S. RAMATHILAGAM
MEMBER (JUDICIAL)